

Pool Ltd

Pool Ltd acquired 100% of the shares in Swim on 1 January 20X4 when the balance on the retained earnings of Swim was £50,000. The draft statements of financial position as at 31 December 20X4 for two companies, Pool Ltd and Swim Ltd, are given below:

	Pool		Swim	
	£'000	£'000	£'000	£'000
Non-current assets				
Property, plant and equipment		400		200
Investment in Swim		240		-
		640		200
Current assets				
Inventory		400		130
Trade receivables		120		160
Cash and cash equivalents		-		70
		520		360
Total assets				
		1,160		560
Equity				
Equity shares of £1 each		500		120
Retained earnings		230		240
		730		360
Current liabilities				
Trade payables	70		50	
Overdraft	360		150	
		430		200
Total equity and liabilities				
		1,160		560

Pool continued... Additional information

- (i) At the date of acquisition, the fair value of Swim's plant and equipment was £20,000 higher than its' carrying value. It was estimated to have a useful life of tenyears at this date. The fair values of all Swim's other assets and liabilities at acquisition were equal to their book values.
- (ii) Pool and Swim trade with each other and at the year end, Pool's inventory included goods which Pool had bought from Swim for £90,000. Swim charges a mark-up of 50% on cost.
- (iii) Pool's payables balance includes £15,000 payable to Swim and Swim's receivables balance includes £60,000 receivable from Pool. Pool sent a cheque to Swim on 30 December 20X4 for £45,000, which Swim did not receive until 3 January 20X5.
- (iv) An annual impairment review determined that goodwill on the purchase of Swim had been impaired to 80%# of its original value.

Required

Prepare the consolidated statement of financial position of the Pool Group at 31 December 20X4